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Forgotten Financier: François L. A. Pioche

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IT WAS MAY 2, 1872. François Pioche, San Francisco banker and financier, was lying in bed in his luxurious three-story home at 806 Stockton Street reading the newspaper. At 7:05 A.M. Pioche's valet, Louis Reiff, entered the bedroom and asked his master, according to the morning custom of the house: "Do you care for some water to drink, sir?"

"I do not wish to talk to you," replied the usually affable and benevolent Pioche.

Ten minutes later he got up out of bed, went to a mahogany case on a table in the center of the room, took from it one of a pair of heavy Navy pistols, returned to his bed, placed the cold ring of the muzzle against his forehead, and fired.

Why should a man who was one of the West's most successful financiers, a bachelor who had an exuberant zest for life, a French-born *bon vivant* eminently respected in the cosmopolitan San Francisco community since his arrival in 1849 suddenly end his life in his fifty-fourth year? There were many theories advanced at the inquest following his death: his depression over France's humiliation at its quick loss of the Franco-Prussian War in 1870, severe headaches as a result of an injury received from a fall from a horse, his guilt over his role in the vigilante hangings of the 1850's, business problems known only to himself and a few associates. Whatever the reason or reasons, they probably lie buried with the amazing personality.

If Pioche could wander the streets of San Francisco today—over one hundred years after his death—he would no doubt find much that would amaze him and a great deal that would sadden him. Presumably, he would find it curious that no historian has ever seen fit to write a biographical account of his life, whether book or article, that a short, unpaved street near Bernal Heights is his only monument—that, and a plaque on the site of his first banking house, on Clay Street between Montgomery and Kearny streets. If he went to the corner of Montgomery and Jackson streets, where in the early 1850's he built a sumptuous banking house—a building which survived the 1906 fire and earthquake—he would see a garish, new brick building which several years ago replaced Pioche's building, a new San

Francisco landmark called the Playboy Club. Maybe he would have appreciated this. A large piece of property which he owned, and on which he once had his home—at Mission between Sixth and Seventh streets, known for many years as the Sullivan Block—is now tied up in the litigation affecting the Yerba Buena Redevelopment Project. Pioche would not have understood this.

But why should this obscure financier find himself slighted by historians of his adopted city? What right had he to expect that they would write books and articles about him when they could mine such fields as the Emperor Norton, Lola Montez, Mammy Pleasant, and Lillie Hitchcock Coit. Why should a principal thoroughfare be named after him when there were Spanish pioneers, U.S. presidents, and city officials to be commemorated? Why indeed!

François Louis Alfred Pioche was born in France in 1818 of a middle-class family. He studied law and received an appointment in the Ministry of Finance. When he was twenty-three a wealthy uncle died leaving him a large legacy. It was soon gone, however, in stock speculations and extravagant living.

Deciding to try life anew in the New World, Pioche left for Santiago, Chile, where he was employed in the French consular office in that city. He subsequently left the consulate for employment in a French-owned mercantile firm, where he met J. B. Bayerque, who was to be his banking partner in San Francisco.

At the time of the discovery of gold in California, Pioche and Bayerque left Chile for San Francisco with a cargo of merchandise, arriving in the city in February, 1849. They opened a general merchandise store on Clay Street, specializing in French-imported goods, prospered, and slowly turned to banking in the tradition of those days: storing gold for miners in their safe and using their excess capital to lend to businessmen.

Pioche's Gallic enthusiasm and emerging financial skills made his enthusiasm for the potential of the West boundless. The seemingly endless supply of gold made men casual about spending money. The price of goods and rents was higher in San Francisco than in the present day. In 1851 Pioche went to France to seek more funds to invest in the Golden West. He became one of the most sought-after figures in Parisian financial circles. Bankers and prostitutes alike pressed Pioche with money to invest in the new Eldorado. Seeking to popularize San Francisco, Pioche commissioned the famous engraver Charles Meryon to engrave from a series of daguerrotypes a view of the city, showing a prosperous metropolis. This engraving, today a rare bit of Californiana, was a throw-away designed to show San Francisco as a substantial city to the thrifty French.

The funds went to work immediately, through the banking firm of Pioche & Bayerque, in San Francisco real estate—natural for Frenchmen. The rental returns of 6–10 per cent per month in the early 1850's allowed Pioche to pay dividends of some 20–25 per cent per year to his French investors. He bought property and developed Montgomery Street from Sutter Street to Market Street and almost the entire block bounded by Montgomery, Washington, Sansome, and Jackson streets.

But it was not only in downtown commercial property that Pioche invested his funds. He also bought large undeveloped tracts of land in what is today known as the Mission District. And when it appeared that the city's population was not moving rapidly enough into "the Mission" and buying lots in that early land

Pioche, the highly successful banker and financier, posed for this Bradley and Rulofson portrait shortly before his death by his own hand in 1872.



development operation, Pioche built the Market Street Railway—one of San Francisco's earliest transit systems—to bring them there. The profits on both the land and the transportation system were enormous.

And Pioche purchased more real estate. Virtually every county in the state of California has records of the large ranches which Pioche bought during the 1850's and 1860's. This period, which saw the break-up of the massive Spanish-Mexican land grants, also saw Pioche become one of the principal buyers of this land.

Pioche returned to France in 1853 and spent a great deal of time there during the 1850's, continuing to funnel investment funds to his banking firm in San Francisco. (Until the 1930's most banking firms in the United States combined the functions of today's commercial and investment banking companies.) The operations of Pioche & Bayerque were handled by Pioche's partner J. B. Bayerque, J. Mora Moss, and A. Caselli.

It was not only in real estate, however, that Pioche employed his and his investors' funds. He financed the Jackson Street Wharf Company—one of the several private wharves which stretched into the bay. In fact, in 1860, Pioche & Bayerque was in the forefront of a group of San Francisco capitalists who sought to obtain the shore area of San Francisco for private use. Pursuing this objective, they succeeded in having the Bulkhead Bill passed by both houses of the state legislature. Their scheme was foiled when Governor Downey vetoed the bill.

So-called public utilities were unknown in the nineteenth century. All were privately-financed, privately-owned, and unregulated. Pioche was a major financier of both the San Francisco Gas Works, the principal component of what is today the Pacific Gas & Electric Company, and the Spring Valley Water Company, which many years later the City and County of San Francisco purchased for its municipally-owned water system.

From the time of the gold rush well into the late 1870's, mining was one of the principal sources of California's wealth. Pioche was not remiss in his financial

endeavors in this area. After the Comstock discovery in 1859, Nevada became a new Golconda. Pioche's money helped to develop the Ely mining district, and the county seat of Lincoln County in eastern Nevada is named after him. Pioche also was involved in the financing of the Temescal tin mines in Southern California, the Malakoff diggings at North Bloomfield, Nevada, the Rivot process for treating refractory ores and sulphurets, the Nolf process for the same purpose, and various hydraulic mining enterprises in California.

As if these imaginative financing activities were not sufficient, Pioche and his firm were also the pioneers in western railroad construction. In mid-1852 a group of Sacramento businessmen incorporated the Sacramento Valley Railroad. It was not until 1855 that construction began, and in the meantime Pioche & Bayerque became the financiers and the controlling interest in this first railroad in the West. In addition to Pioche and Bayerque the project, which was to be constructed between Folsom and Placerville, involved some of San Francisco's leading financiers: Commodore C. K. Garrison, shipping magnate and early San Francisco mayor; Captain Joseph L. Folsom; William T. Sherman, in the 1850's a San Francisco banker, later achieving fame as a Civil War general; and Ralph S. Fretz, partner of the fabled banker William C. Ralston.

The founders of the railroad had gone to New York in early 1854 and hired a brilliant young railroad engineer by the name of Theodore D. Judah, who came to California and built the Sacramento Valley Railroad. His vision and determined crusade in behalf of a transcontinental railroad later brought about the organization of the Central Pacific Railroad by four Sacramento businessmen: Crocker, Stanford, Huntington, and Hopkins. And it was Judah who, before his untimely death, laid out the route for this first transcontinental railroad.

Like most pioneering business ventures, the Sacramento Valley Railroad underwent numerous vicissitudes of fortune. Pioche's firm not only financed the company but, along with Lester L. Robinson, managed it. However, despite its being the first railroad, the Sacramento Valley Railroad was not to bring financial rewards to its backers. The Big Four pursued the vision of a transcontinental railroad vigorously, and, in the mid-1860's, Pioche was forced to sell the Sacramento Valley Railroad to the Central Pacific Railroad at a substantial loss.

For all his ventures helping to finance the growth of the West during the 1850's and 1860's, Pioche also retained his interests in the field of general merchandise. He remained the California agent-distributor for the famous French Sozerac brandy. At one of his summer homes and property—the New Almaden Mine near San Jose—he discovered a mineral spring. He had the water from this spring tested for its medicinal qualities and compared to the waters from various European spas. Satisfied with the excellent properties of the mineral springs, he began to bottle and sell the water.

As well, San Franciscans owe to Pioche the excellent quality of the cuisine in the city. Dissatisfied with the deplorable food in San Francisco during the gold rush period, Pioche imported chefs from France, and soon the city had numerous restaurants with excellent reputations for their French cooking. One of the earliest of these—and one which apparently had Pioche's financial backing—was the *Le Poulet d'Or*, corrupted by the un-cosmopolitan miners into the present name of the restaurant: The Poodle Dog.



Whatever the meaning of this caricature by Edward Chevassus, Pioche's interest in the world of the arts is obvious.

Pioche and Bayerque's advertisement from the 1860 City Directory indicates the extent of their commercial and investment connections on the East Coast and in Europe.

514 SAN FRANCISCO DIRECTORY.

PIOCHE & BAYERQUE,

AGENTS

—AND—

BANKERS

Montgomery Street, corner Jackson.

DRAW ON

SCHUCHARDT & GEBHARD,

NEW YORK.

DRAFTS ON

L. C. OPPERMAN,

PARIS.

PAYABLE IN THE PRINCIPAL CITIES OF

FRANCE,	ITALY,
ENGLAND,	PRUSSIA,
BELGIUM,	HOLLAND,
SWITZERLAND,	SPAIN,
GERMANY,	ETC.

They also RECEIVE, ON DEPOSIT, THE SMALLEST SUMS, and for a moderate commission, remit them and cause them to be PAID—at fixed periods, Monthly, Quarterly or otherwise, to the Families of Depositors in the

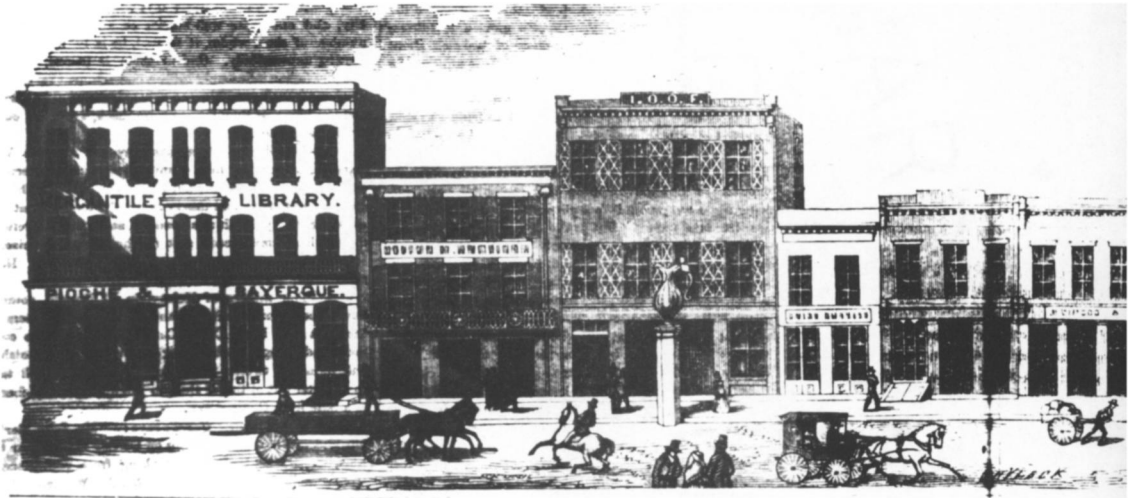
PRINCIPAL CITIES OF EUROPE.

During his twenty-three years in San Francisco, Pioche, like his contemporary Ralston, never ceased to labor to enhance his adopted city. He backed industrial fairs in San Francisco, generously contributed to charitable and philanthropic causes, strongly promoted the cultural and educational institutions of the city, and, as we have seen, never missed an opportunity to finance projects which abetted the economic developments of the West.

His will very much illustrates his benefactions while alive. To the fledgling University of California he bequeathed his extensive art, book, and mineralogical collections and \$5,000. To French Hospital he left two acres of land and \$5,000. To the sculptor Pietro Mezzara he left \$10,000 and various objects d'art.

Pioche's personal life was quite atypical of a modern businessman. A life-long bachelor, Pioche had all the qualities one would expect of a cultivated and cultured Frenchman. He loved the good life and had the money to enjoy it. An ardent collector, he assembled numerous works of art, furniture and decorative pieces, books, and minerals and shells. His taste for good food, wines, and spirits was something he loved to share with friends and visitors to San Francisco in his lavish entertaining.

Pioche had five homes during his residency in San Francisco. Three of these were located in the city and two were country homes. One of these homes—the Hermitage—was located on what is now Dolores Street, across from and south of Mission Dolores. Another was on the site of what has come to be called the



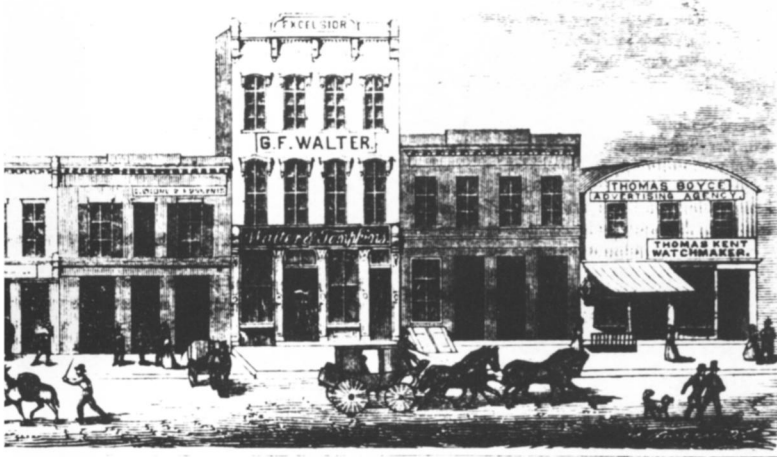
Sullivan Block, on Mission between Sixth and Seventh streets. Here, during the rainy winter of 1842, Pioche's gardens and house were flooded when the waters of Sans Souci Lake (at what is now Divisadero and Fulton) flooded and rushed down to submerge the area around the Pioche estate. The third home—where he died—was at 806 Stockton Street. This mansard-roofed house, along with its grounds, covered half the block. Big bay windows fronted on Stockton Street, and, looking north towards the bay, ran a balcony where, after dinner, Pioche liked to sit, sip his brandy, smoke his rich Havana cigars, and admire the view.

Pioche's summer homes were located in San Mateo and near San Jose. The San Mateo estate was located on property between the El Camino Real and the Alameda de las Pulgas. After his death the property and house was purchased by San Francisco banker Antoine Borel, and his descendents continue to own it. Further south, Pioche owned property at the New Almaden Quicksilver Mine; he used the old house built for the managers of the mine as his residence.

For all of his panoply of wealth and financial successes, it appears that in the late 1860's or early 1870's Pioche and his firm found themselves financially over-extended. Details for this contraction of business are not available. However, from both the accounts of the inquest held at the time of Pioche's death and from law suits launched by the executors of his estate, it is obvious that Pioche had become financially straitened. Whether for "fresh blood" or for additional capital, Pioche had taken in as a partner and, seemingly, effective head of the firm, L. L. Robinson, who had built and controlled the Sacramento Valley Railroad in conjunction with Pioche & Bayerque.

After Pioche's death, the executors of his estate sued Robinson for fraudulently misappropriating to his personal use assets belonging to Pioche and to the firm of Pioche & Bayerque. From the testimony given at the trial, it appears that Robinson proved to be as much an evil genius to Pioche as Sharon was to be to Ralston in 1875.

The comparisons in the lives of these two giant San Francisco financiers are uncanny. Both were unusual for their times. Unlike the usual grasping robber-baron businessmen of the last half of the nineteenth century, both Pioche and Ralston were men of taste and culture. Both were passionately devoted to San



This 1850's panorama at Montgomery Street between Washington and Jackson depicts the Pioche & Bayerque headquarters (far left) and one of the many downtown commercial blocks developed by Pioche.

In this 1906 view, Pioche's lavish bank building still guarded the corner of Montgomery and Jackson streets. It withstood the earthquake which followed and was only recently torn down to make room for the Playboy Club.



Francisco and to the growth of the West, spending millions of dollars of their capital to finance this growth, frequently in money-losing ventures, and to promote the city's cultural and educational life. Neither of them ever tired of promoting San Francisco. No financier of that time, nor since, had the wide-ranging, innovative minds in financing so many aspects of Western growth as did these two men. As compared to the flinty-hearted boors who made up the financial communities of most cities of the United States at that time, both Pioche and Ralson were genial, kind, and charitable. Even in their enjoyment of the luxury and splendor which their wealth and their position brought them, they did it with taste and modesty.

And yet both of these men died as comparative failures. In 1875, the Bank of California failed; shortly thereafter Ralson died of a stroke while swimming in

San Francisco Bay. His supposed friend and protégé, William Sharon, appropriated virtually all of his sizeable estate and denuded Ralston's heirs of their inheritance. Three years before, Pioche had committed suicide, and in 1876 his firm was liquidated. Today, Ralston's life is better remembered than Pioche's because of three biographies, the fact that the Bank of California remains as his financial legacy, and the existence of most of his papers and letters. Unfortunately, no historian has so recorded the life of Pioche, no financial institution he founded remains, and virtually no letter of Pioche or of his firm is extant.

And so in 1973, over one hundred years after his death, Pioche remains a forgotten financier. And yet, during the twenty-three years between his arrival in San Francisco and his death, he was one of the principal architects of the prosperity of San Francisco and the West and one of the main shapers of its quality of life. His ability to garner friends from abroad and profitably and creatively invest their funds in the West greatly helped to develop the area's rich resources. The West's commerce was aided by his financing of wharves and warehouses, its financial growth enhanced by his prestigious banking house, its utilities started by his financial activities on behalf of the San Francisco Gas Works and the Spring Valley Water Company. Its railroad had their start with him. The mining industry received the benefits of his imagination and money. And the real estate, agricultural, and livestock resources of California were greatly developed by his vision.

The fact that San Francisco is one of the most cosmopolitan cities in the world is, in part, attributable to Pioche. His Frenchman's love for fine food, good wines and spirits, and the arts prompted him to finance French restaurants and to import French wines and liquors, to give generously to support music and art in San Francisco, and to develop the San Francisco style of entertainment.

Pioche deserves much more from San Francisco and the West than the oblivion to which he has been consigned. He should be remembered particularly for his unceasing efforts to develop the economy and the cosmopolitan excellence of the city, and he should be a model for contemporary Western businessmen and financiers for his bold, creative, and imaginative financing of new industries. Perhaps more than a century after the death of François Louis Alfred Pioche his adopted city will see fit to restore to him the fame which is rightfully his as a major builder of San Francisco.

THE PHOTOS on pages 22-3 (top) and page 21 (right) are from the Wells Fargo History Room. The others are from the California Historical Society collection.